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MetaX Integrated Circuits | Asia Pacific

In-line 2Q26 revenue, margin light; EW

AlphaSignals Earnings Reaction

Unchanged

Impact to our thesis

↑ Meaningful upside

Financial results versus consensus

↓ Modest revision lower

Direction of next 12-month consensus EPS

Source: Company data, Morgan Stanley Research

2Q26 results: in-line revenue, slightly below-estimate GM.

- MetaX reported 2Q26 revenue of Rmb762mn, up 36% Q/Q and 28% Y/Y, in line with MSe of Rmb772mn. Shipments of the new C600 family primarily drove growth.
- GM printed 55.1%, 4ppts below MSe. Per our supply chain checks, we attribute softness to elevated memory costs (especially HBM) and strategic price cuts to expand share.
- Net profit to shareholders reached Rmb711mn, a significant beat vs. MSe, supported by Rmb883mn in fair value gains on financial assets. Excluding this non-recurring item, underlying net loss would be Rmb172mn, below our forecast.

Inventory growth contained. Inventory stood at Rmb1.4bn, roughly flat Q/Q, while prepayments hit Rmb2.2bn, reflecting proactive stocking of wafers and HBM to support future production.

Maintain EW. Given MetaX’s C600 series is mainly built on the N+1 (12nm) node, we view this generation as slightly lagging peers on power efficiency and thermal performance, which will continue to weigh on pricing and gross margins. We therefore reaffirm our EW and look ahead to the tape-out and volume ramp of the next-generation C700 series.

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MetaX Integrated Circuits (688802.SS, 688802 CG)				
Greater China Technology Semiconductors China				
Stock Rating	Equal-weight			
Industry View	Attractive			
Price target	Rmb758.00			
Up/downside to price target (%)	12			
Shr price, close (Aug 28, 2026)	Rmb674.90			
52-Week Range	Rmb1,033.00-479.01			
Sh out, dil, curr (mn)	400			
Mkt cap, curr (mn)	Rmb269,960.0			
EV, curr (mn)	Rmb260,597.1			
Avg daily trading value (mn)	Rmb1,515			
Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (Rmb)**	(2.1)	0.1	1.4	2.5
Prior EPS (Rmb)**	-	-	-	-
EPS (Rmb)\$	-	0.1	2.0	4.3
Revenue, net (Rmb mn)	1,644.1	4,085.5	6,208.6	7,482.9
EBITDA (Rmb mn)	(543.3)	81.8	434.9	856.9
ModelWare net inc (Rmb mn)	(786.8)	24.0	554.9	996.9
P/E	NM	11,259.4	486.5	270.8
P/BV	16.3	20.5	19.6	18.3
RNOA (%)	(92.9)	1.6	6.5	10.0
ROE (%)	(66.8)	0.2	4.2	7.3
EV/EBITDA	NM	3,200.0	603.9	305.7
Div yld (%)	0.0	0.0	0.0	0.0
FCF yld ratio (%)**	(0.6)	(0.4)	(0.3)	0.3
Leverage (EOP) (%)	(71.1)	(61.7)	(53.3)	(54.3)

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
\$ = Consensus data is provided by Refinitiv Estimates
** = Based on consensus methodology
e = Morgan Stanley Research estimates

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Valuation Methodology and Risks

MetaX Integrated Circuits (688802.SS)

Key valuation assumptions include: an 6.5% cost of equity (derived from a beta of 0.75, risk-free rate of 2.0%, and equity risk premium of 6.5%), a long-term target payout ratio of 51% (was 50%), a medium-term CAGR of 18% through 2038e, and a perpetual terminal growth rate of 6%.

Risks to Upside

- Faster CUDA migration
- Stronger government and CSP orders
- Better-than-expected C600 ramp

Risks to Downside

- Product concentration risk
- Weaker-than-expected demand
- Intensifying competition

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(as of July 31, 2026)

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	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
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Equal-weight/Hold	1582	43%	396	42%	25%	773	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	560	15%	97	10%	17%	217	12%
Total	3,674		936			1741	

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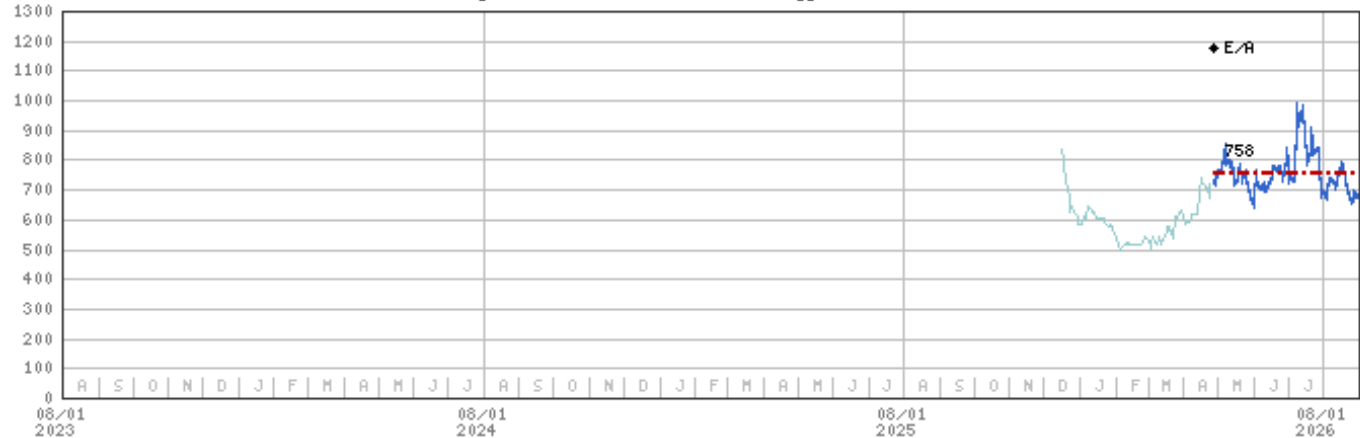
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Stock Price, Price Target and Rating History (See Rating Definitions)

MetaX Integrated Circuits (688802.SS) - As of 08/31/26 GMT in CNY
Industry : Greater China Technology Semiconductors



Stock Rating History: 4/27/26 : E/A

Price Target History: 4/27/26 : 758

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) ■
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INDUSTRY COVERAGE: Greater China Technology Semiconductors

COMPANY (TICKER)	RATING (AS OF)	PRICE* (08/28/2026)
Charlie Chan		
ACM Research Inc (ACMR.O)	O (03/07/2023)	US\$74.42
Advanced Micro-Fabrication Equipment Inc (688012.SS)	O (11/06/2023)	Rmb367.00
Advanced Wireless Semiconductor Co (8086.TWO)	U (07/14/2025)	NT\$117.50
Alchip Technologies Ltd (3661.TW)	O (05/14/2021)	NT\$4,065.00
ASE Technology Holding Co. Ltd. (3711.TW)	O (09/15/2024)	NT\$621.00
Cambricon Technology Corporation (688256.SS)	O (04/27/2026)	Rmb1,046.63
CXMT Corp (688825.SS)	O (08/26/2026)	Rmb58.60
Global Unichip Corp (3443.TW)	O (06/24/2026)	NT\$6,015.00
GlobalWafers Co Ltd (6488.TWO)	E (05/19/2026)	NT\$972.00
Gudeng Precision (3680.TWO)	O (11/25/2025)	NT\$500.00
Hua Hong Semiconductor Ltd (1347.HK)	E (03/12/2026)	HK\$120.60
Iluvatar CoreX Semiconductor Co., Ltd. (9903.HK)	O (04/27/2026)	HK\$396.80
King Yuan Electronics Co Ltd (2449.TW)	O (03/03/2023)	NT\$270.00
MediaTek (2454.TW)	O (11/28/2025)	NT\$3,985.00
MetaX Integrated Circuits (688802.SS)	E (04/27/2026)	Rmb674.90
Nanya Technology Corp. (2408.TW)	O (05/28/2026)	NT\$540.00
NAURA Technology Group Co Ltd (002371.SZ)	O (11/06/2023)	Rmb697.51
OmniVision Integrated Circuits Group Inc (603501.SS)	E (11/17/2025)	Rmb82.00
Phison Electronics Corp (8299.TWO)	E (02/25/2026)	NT\$2,150.00
SG Micro Corp. (300661.SZ)	E (11/03/2025)	Rmb114.50
Silergy Corp. (6415.TW)	U (05/19/2026)	NT\$458.00
SMIC (0981.HK)	O (10/21/2025)	HK\$70.15
TSMC (2330.TW)	O (02/07/2022)	NT\$2,420.00
UMC (2303.TW)	O (05/19/2026)	NT\$130.00
Vanguard International Semiconductor (5347.TWO)	E (01/14/2026)	NT\$153.00
WIN Semiconductors Corp (3105.TWO)	U (07/14/2025)	NT\$439.00
Daisy Dai, CFA		
ASMPT Ltd (0522.HK)	O (07/24/2025)	HK\$160.90
China Resources Microelectronics Limited (688396.SS)	U (03/02/2026)	Rmb60.95

Empyrean Technology Co Ltd (301269.SZ)	E (01/17/2025)	Rmb96.10
Hangzhou Silan Microelectronics Co. Ltd. (600460.SS)	U (08/25/2025)	Rmb34.17
Hygon Information Technology Co., Ltd. (688041.SS)	O (07/03/2026)	Rmb245.49
Innoscence (2577.HK)	E (10/13/2025)	HK\$46.28
JCET Group Co Ltd (600584.SS)	E (01/16/2026)	Rmb74.93
Shanghai Fudan Microelectronics (1385.HK)	O (03/07/2025)	HK\$25.68
SICC Co Ltd (688234.SS)	O (03/20/2026)	Rmb105.86
StarPower Semiconductor Ltd (603290.SS)	E (05/14/2026)	Rmb91.07
Unigroup Guoxin Microelectronics Co Ltd (002049.SZ)	U (01/10/2023)	Rmb62.78
Universal Scientific Ind. (Shanghai) (601231.SS)	O (11/05/2025)	Rmb26.99
Yangjie Technology (300373.SZ)	O (06/10/2022)	Rmb94.43

Daniel Yen, CFA

AP Memory Technology Corp (6531.TW)	O (07/11/2025)	NT\$895.00
ASMedia Technology Inc (5269.TW)	U (10/03/2025)	NT\$1,450.00
Aspeed Technology (5274.TWO)	O (06/09/2025)	NT\$15,630.00
Egis Technology Inc (6462.TWO)	E (01/28/2026)	NT\$101.00
Elan Microelectronics Corp (2458.TW)	O (10/03/2025)	NT\$138.50
eMemory Technology Inc (3529.TWO)	O (08/18/2026)	NT\$2,540.00
Espressif Systems (688018.SS)	O (05/15/2023)	Rmb115.88
GigaDevice Semiconductor Beijing Inc (603986.SS)	O (05/15/2025)	Rmb396.82
Macronix International Co Ltd (2337.TW)	O (09/18/2025)	NT\$126.50
Montage Technology Co Ltd (6809.HK)	O (03/18/2026)	HK\$285.00
Montage Technology Co Ltd (688008.SS)	O (03/18/2026)	Rmb213.00
Novatek (3034.TW)	U (02/04/2026)	NT\$545.00
Nuvoton Technology Corporation (4919.TW)	U (11/10/2025)	NT\$122.50
Parade Technologies Ltd (4966.TWO)	O (05/27/2026)	NT\$584.00
Powerchip Semiconductor Manufacturing Co (6770.TW)	O (10/27/2025)	NT\$70.00
Realtek Semiconductor (2379.TW)	E (01/30/2026)	NT\$722.00
Shenzhen Goodix Technology Co Ltd (603160.SS)	U (07/14/2025)	Rmb48.89
Winbond Electronics Corp (2344.TW)	O (05/28/2026)	NT\$181.50
WPG Holdings (3702.TW)	O (03/16/2026)	NT\$100.00
WT Microelectronics Co. Ltd. (3036.TW)	O (01/27/2026)	NT\$196.00

Duan Liu

Dosilicon Co Ltd (688110.SS)	U (09/06/2024)	Rmb115.01
Shenzhen Longsys Electronics Co Ltd (301308.SZ)	E (02/25/2026)	Rmb376.88

Henry Zhao

Maxscend Microelectronics Co Ltd (300782.SZ)	U (01/11/2021)	Rmb77.39
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Tiffany Yeh

AllRing Tech Co. (6187.TWO)	O (09/23/2025)	NT\$1,365.00
FOCI Fiber Optic Communications Inc (3363.TWO)	O (01/15/2025)	NT\$701.00
Himax Technologies Inc (HIMX.O)	E (02/04/2026)	US\$13.64
Hon Precision (7769.TW)	O (04/17/2026)	NT\$6,490.00
MPI Corporation (6223.TWO)	O (04/17/2026)	NT\$5,030.00
Silicon Motion (SIMO.O)	O (05/06/2024)	US\$245.81
WinWay Technology Co Ltd (6515.TW)	O (04/17/2026)	NT\$6,250.00

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* Historical prices are not split adjusted.